

DICK'S Sporting Goods

NYSE: DKS

PRICE: \$136.08 (OCT 2, 2026)

VERDICT: PASS

24-MONTH VALUE: \$172 (+27%)

Bull-Bear Debate and Company Evaluation

Data as of the October 2, 2026 close

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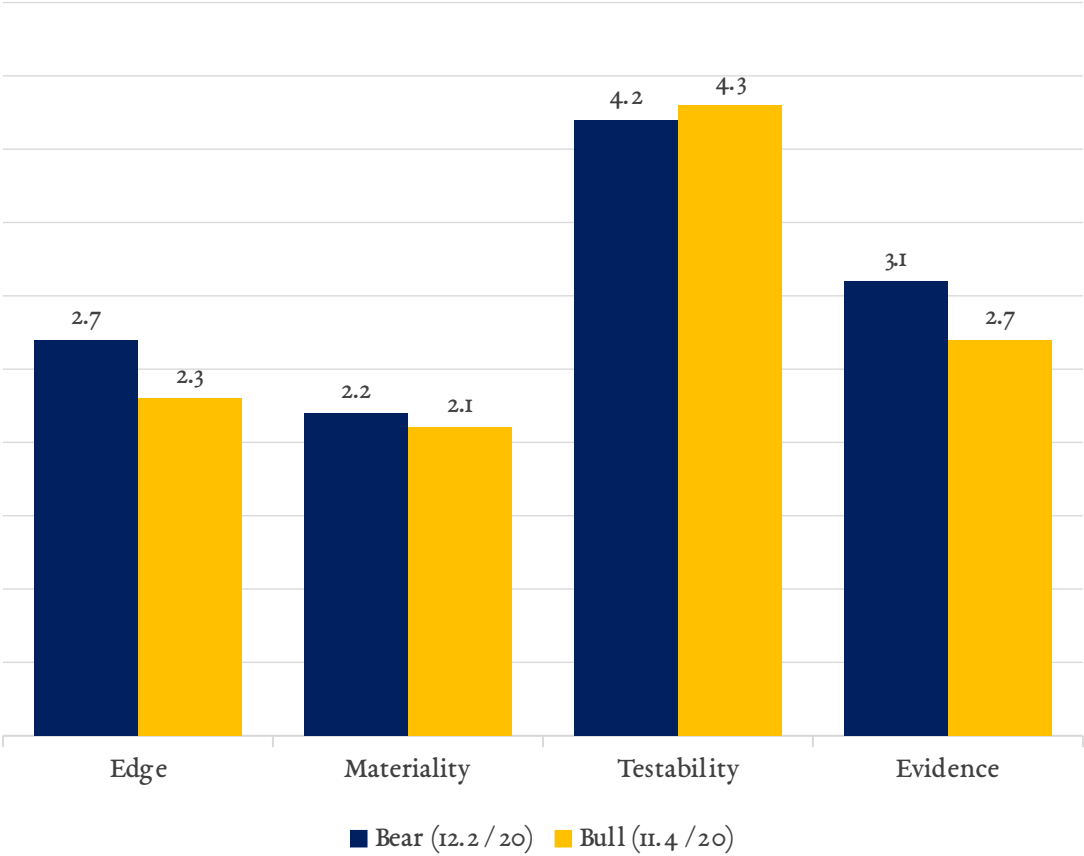
APPENDIX

I. The Debate: Bear vs. Bull

Consensus Baseline

- **Business:** the largest US sporting goods retailer (66% of FY26 sales) plus Foot Locker (34%), bought in Sept 2025
- **Narrative:** a share-gaining leader whose Foot Locker bet broke in 2026
- **Street:** mean target \$166 (26 analysts, Buy); post-Q2 targets \$99 to \$205
- **Positioning:** short interest 13.7%; stock -31% on Aug 25; insiders buying
- **Price implies:** Foot Locker at zero and a 10.2% DICK'S margin (11.2% guided)
- **Live debate:** a one-season clearance, or a margin reset as Nike floods wholesale again?

Average Thesis Score by Dimension (1-5)



Edge to the bear: its best claim is in the Q2 numbers

Deciding variable: the DICK'S margin without refunds

Argued as a short-seller would | Scored on Edge, Materiality, Testability, Evidence (max 20)

#	ID	Lens	Thesis	Consensus → Ours	Score
1	S1	Profit engine	DICK'S margin settles near 10.3% once the tariff refund rolls off	11.0-11.4% → 10.3% or less	16
2	S8	Expectations gap	FY27 EPS lands near \$12.5; estimates still have to come down	\$15.31 (stale) → \$12.5	14
3	S3	Capital allocation	Dividends and buybacks exceed FCF; net debt roughly doubles	Self-funding → \$0.3-0.5B gap	13
4	S2	Industry structure	Foot Locker earns 0% or less through FY28 in a discounted channel	~2% → 0% or less	13
5	S5	Macro /policy	Section 301 tariffs cost 50-80bp of FY27 gross margin	Neutral → -50 to -80bp	12
6	S6	Revenue: volume	DICK'S comps slow to +1% or less as transactions turn negative	+2.5-4.0% → +1% or less	12
7	S10	Capital allocation	Group ROIC stays near 10% on ~\$1.4B a year of capex	~14% → 10% or less	11
8	S9	Revenue: price / mix	Ticket growth halves as DKS matches brand promotions	~+5% → +2% or less	11
9	S4	Moat trajectory	Comp premium over Academy shrinks as Nike reopens wholesale	4pp+ → 2pp or less	11
10	S7	Governance	Foot Locker charges exceed the \$500-750M plan	\$500-750M → \$850M+	9

Strongest: S1: a \$59M refund hides a ~190bp core margin slide

Already priced: the price implies a 10.2% DICK'S margin

Argued as a long PM would | Same scoring; L1 shares the Street's view, so it is labeled Consensus

#	ID	Lens	Thesis	Consensus → Ours	Score
1	L2	Profit engine	Foot Locker reaches a 3%+ margin by FY28 on synergies and remodels	-1.2% (price) → 3%+	14
2	L3	Revenue: volume	DICK'S comps run +4% or more as weaker rivals cede share	+2.5-4.0% → +4%+	13
3	L4	Moat trajectory	DICK'S holds 11%+ without refunds: the scale premium survives	10.2% (price) → 11%+	13
4	L9	Industry structure	Nike North America wholesale grows 8%+, feeding both banners	~+4% → +8%+	12
5	L8	Market structure	Short interest falls below 8% of float as estimates trough	13.7% → below 8%	12
6	L1	Expectations gap	Consensus view: the Street's \$166 is right; base value ~\$163	-0.3% g (price) → +2.0%	11
7	L10	Revenue: price / mix	Ticket holds +4% as House of Sport and premium mix offset promotions	~+3% → +4%+	11
8	L7	Macro / policy	IEEPA refunds reach \$150M+ and fund the Foot Locker reset	\$59M → \$150M+	10
9	L6	Optionality	Retail media and GameChanger add 50bp+ to the DICK'S margin	Not modeled → +0.5pp	9
10	L5	Capital allocation	Buybacks at ~12x earnings cut shares to 86M or fewer by FY28	~90M → 86M or fewer	9

Strongest: L2, because synergies alone add 1.3-1.7pp

Hard data: comps +6.0% and +4.9% while Academy was negative (L3)

Three Strongest per Side, Each With a Dated Test				
ID	Thesis	Catalyst & timing	Falsifier (dated)	Value if right
Bear				
S1	DICK'S margin near 10.3% in FY27	Q3 FY26 (late Nov 2026); FY27 guide	FY27 guide of 11.0%+ without refunds by 3/31/27	-\$12/sh
S8	FY27 EPS near \$12.5	FY27 guide (~Mar 2027)	FY27 EPS guide midpoint of \$14+ by 3/31/27	-\$18/sh
S3	Capital returns exceed FCF	FY27 capex and buyback guide	FY27 FCF of \$700M+ by 3/31/28	-\$5/sh
Bull				
L2	Foot Locker margin 3%+ by FY28	Q4 FY26 (~Mar 2027)	FY27 Foot Locker guide below \$100M by 3/31/27	+\$29/sh
L3	DICK'S comps +4%+ in FY27	Q3 and Q4 FY26 results	Q4 FY26 DICK'S comp below +2% by 3/31/27	+\$5/sh
L4	DICK'S margin 11%+ without refunds	FY27 guide (~Mar 2027)	FY27 guide below 10.5% ex-refunds by 3/31/27	+\$14/sh

Dependency Check

- S1, S5, S8 and S9 are largely **one bet on promotions**; S8's EPS gap is mostly S1 plus S2
- L2, L3 and L9 share one upstream driver: **Nike's wholesale push** into both banners

Five Variables Decide the Debate					
Variable	Bull view	Bear view	Consensus	Price implies	Resolves (when)
DICK'S margin ex-refunds	11%+ in FY27 (L4)	10.3% or less (S1)	11.0-11.4% (guide)	10.2% (FL at 0%)	FY27 guide (~Mar 2027)
Foot Locker margin, FY28	3%+ (L2)	0% or less (S2)	~2% (Street)	-1.2%	Q4 FY26 and FY27 guide
DICK'S comps, FY27	+4%+ (L3)	+1% or less (S6)	+2.5-4.0%	~0% long-run	Q4 FY26 (~Mar 2027)
DICK'S average ticket	+4%+ (L10)	+2% or less (S9)	~+5% (Q1)	n/a	Q4 FY26 comp detail
Capital returns vs. FCF	86M shares or fewer (L5)	\$0.3-0.5B gap (S3)	Self-funding	n/a	FY27 guide (~Mar 2027)

- Where the Case Stands
- The bear side is modestly stronger (12.2 vs. 11.4 of 20) because its best claim is in the Q2 numbers
 - The decider is the **DICK'S margin without refunds**: 10.2% implied vs. 11.0-11.4% guided
 - Flip to bull: an FY27 guide with the DICK'S margin at 11%+ ex-refunds and a profitable Foot Locker

Next test: Q3 FY26 results (late Nov 2026)

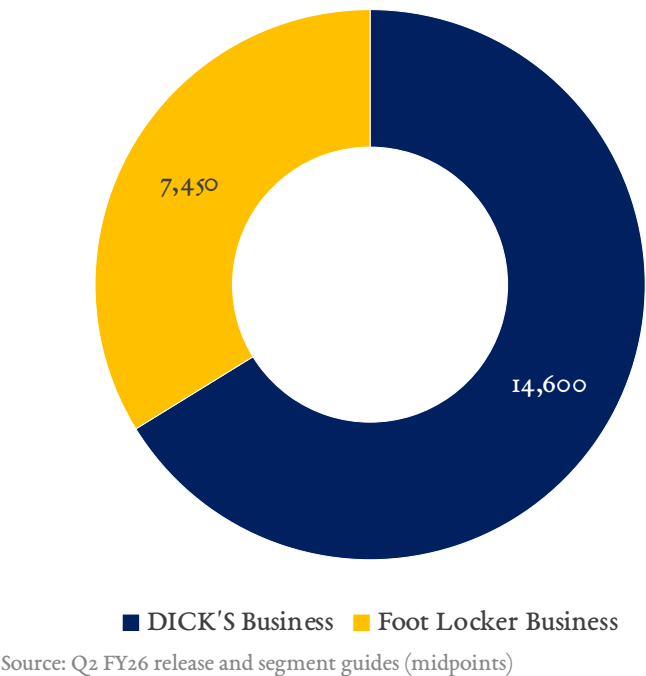
Decisive test: Q4 FY26 and the FY27 guide (~Mar 2027)

II. Company Overview

Background

- DICK'S Sporting Goods (NYSE: DKS); CEO **Lauren Hobart**; Exec. Chairman **Ed Stack** runs Foot Locker
- Largest US sporting goods retailer: ~9% share; FY25 sales **\$17.2B**
- **House of Sport**: 41 open (Aug 2026); 75-100 targeted
- Bought **Foot Locker** (Sept 2025) for **\$2.5B**, mostly in stock (9.6M shares)
- Fiscal years end in late January; FY26 = Feb 2026 to Jan 2027

FY26 Sales Guide by Business (\$M)



- Operating income guide: DICK'S **\$1.64B**; Foot Locker **-\$60M**

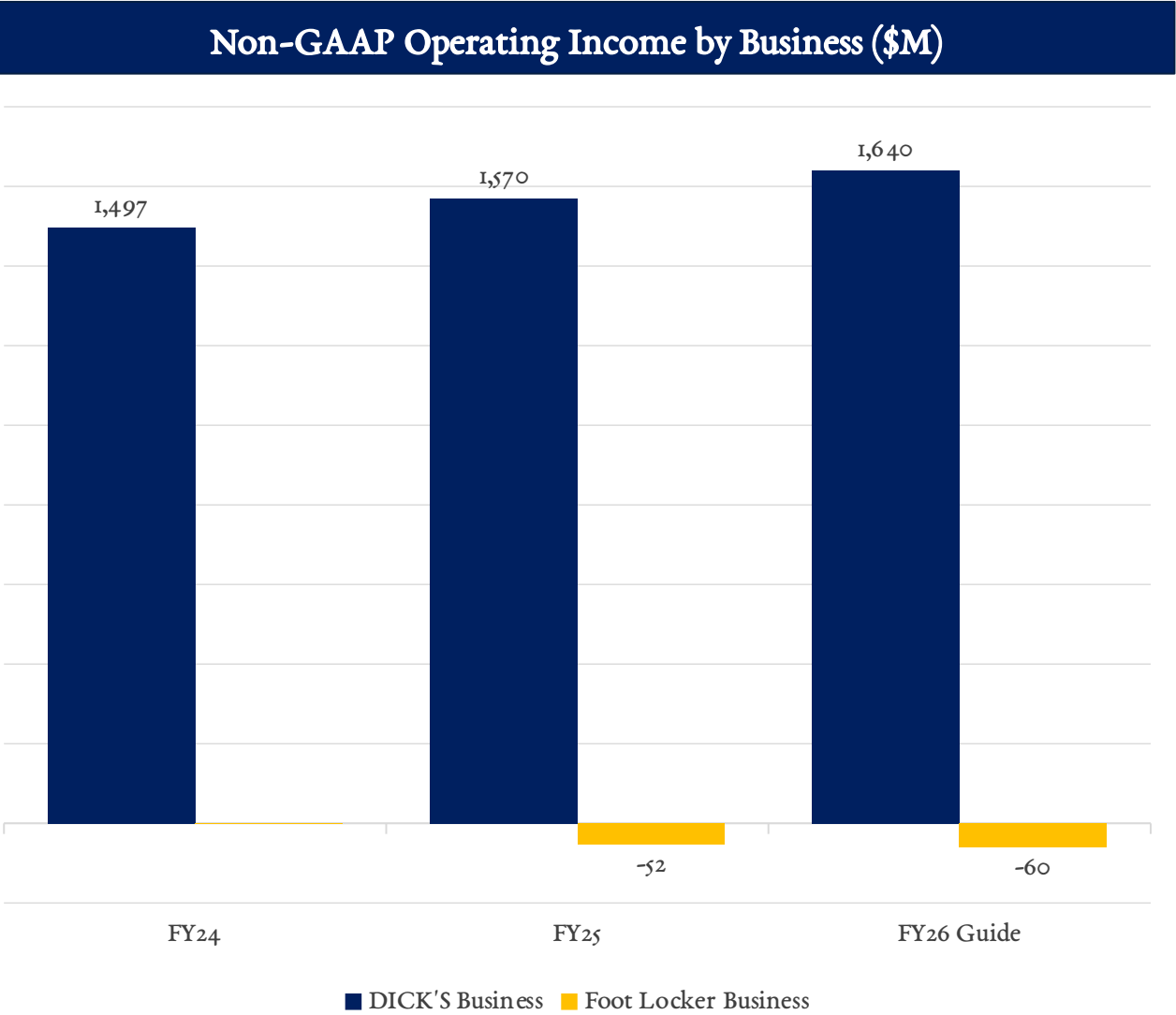
Business Lines

- **DICK'S Business**: DICK'S, House of Sport, Golf Galaxy, Field House; Q2 comps **+4.9%**
- **Foot Locker Business**: Foot Locker, Kids Foot Locker, Champs, WSS, atmos; Q2 comps **-3.6%**
- **Digital**: GameChanger (youth sports app) and DICK'S Media Network (retail media)
- **FY26 guide**: non-GAAP EPS **\$11-12**, cut from \$13.50-14.50

Key Metrics (10/2/26)	
Share price; 52-week low	\$136.08; ~\$120 (9/21/26)
Market cap / EV (ex-leases)	\$12.2B / \$13.3B
Net debt / FY26E EBITDA	\$1.0B / 0.5x
TTM revenue	~\$21.2B (incl. Foot Locker)
FY26 guide: sales	\$21.9-22.2B
FY26 guide: operating income	\$1.46-1.56B
FY25 FCF	\$400M (capex \$1.14B)
SBC	0.7% of FY25 sales
Diluted shares	~97M (FY22) to ~90M (FY26)
Dividend / yield	\$1.25/qtr; 3.7%
EV / FY26E EBITDA	6.2x
P/E on FY26 EPS guide (\$11.50)	11.8x

FY26 EPS guide cut 18% on Aug 25, 2026

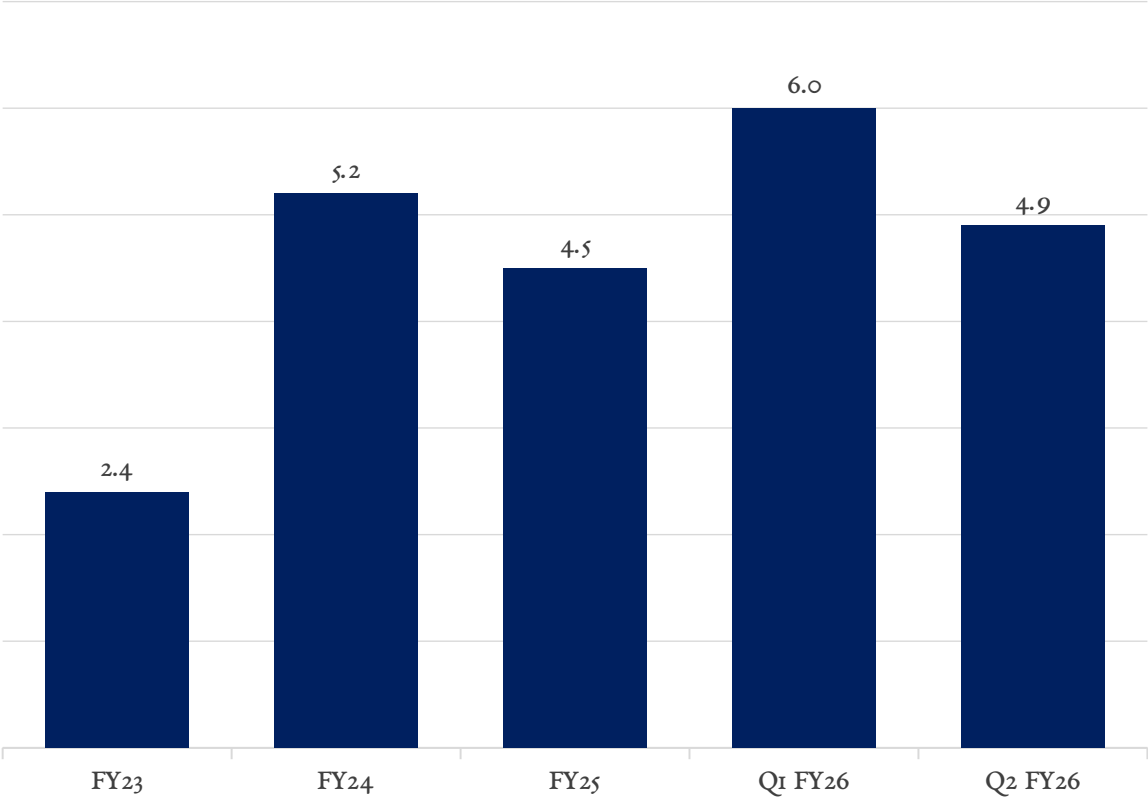
Capex 2.2x D&A: ~\$1.4B in FY26



Source: DKS releases; FY24 is DKS alone (11.14% of \$13.44B); FY26 at guidance midpoints

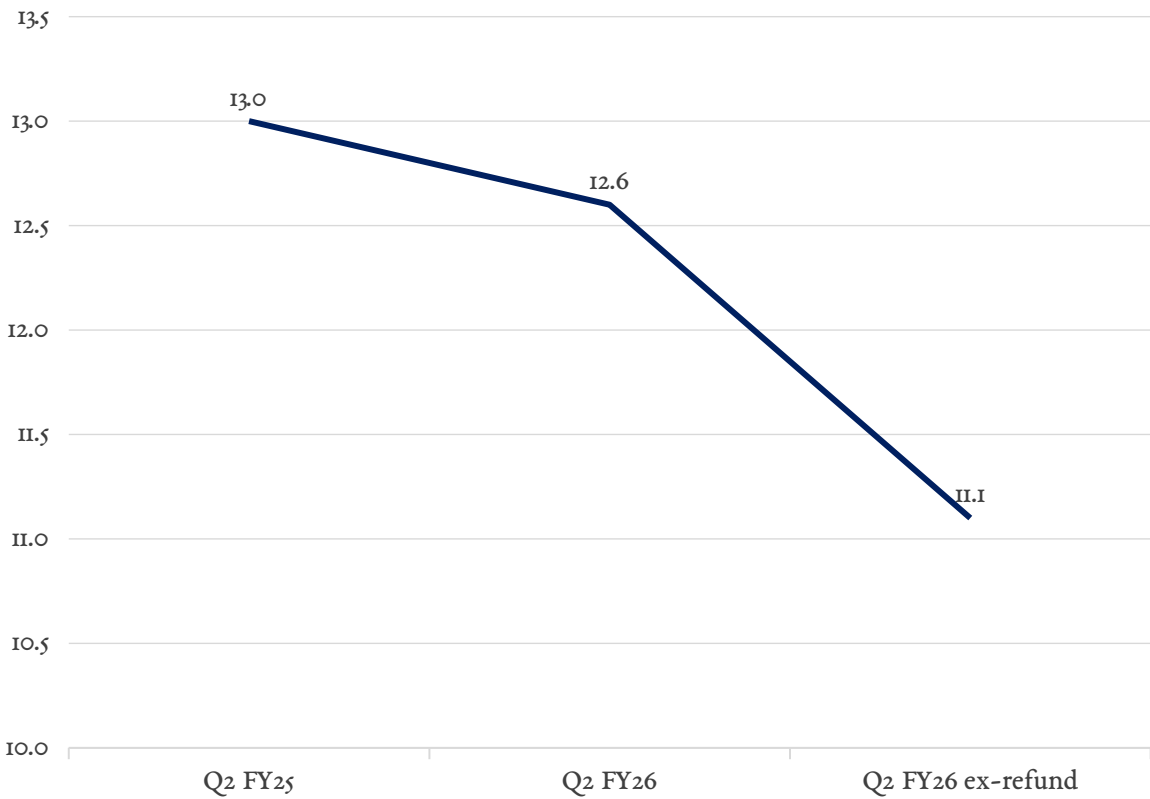
REVENUE ENGINE: COMPS UP, MARGIN DOWN

DICK'S Business Comparable Sales (%)



Source: DKS releases (FY23 single source)

DICK'S Business Q2 Operating Margin (%)



Source: Q2 FY26 release and 10-Q; refund booking in the segment assumed

Q1 comp +6.0%: ticket +5.5%, transactions +0.5%

Academy Q2: transactions -5.3%, comps -0.4%

-190bp slide once the \$59M refund is removed

FY26 guide 11.0-11.4% includes the refund

CUSTOMER & PRODUCT: WHY FAMILIES BUY

The Job

- One trip for equipment, footwear and apparel across **every sport**
- House of Sport: turf, climbing walls and cages make the store a **destination**
- Launch access to premium footwear (Nike, On, HOKA)

What Customers Use Instead

- Brand websites: Nike Direct fell **8%** amid promotions
- Amazon, Walmart, Target; Academy (value, **\$6.1B**)
- Sneaker chains: JD's Finish Line and Hibbett

DICK'S vs. the Alternatives

	DICK'S	Brand site
Assortment	Every brand	One brand
Service	Fitting, team gear	Online returns
Price	Price-matched	First to discount
Youth teams	GameChanger	None

58% of kids play organized sport (2024)

+46% per child: cost since 2019

Value Chain Position

- Between **Nike** (allocation, launches) and **households**; brands' own promotions spilled into the market in Q2

Who Pays & Decides

- Families and athletes pay; parents decide for **youth sport**
- Brands decide what reaches the shelf
- DKS + Foot Locker buy **~\$5B** from Nike (~10% of Nike)
- Foot Locker shopper: younger, sneaker-led, mall-based

Switching Costs

- ~Zero: loyalty is assortment-driven
- GameChanger ties families to DKS **between purchases**

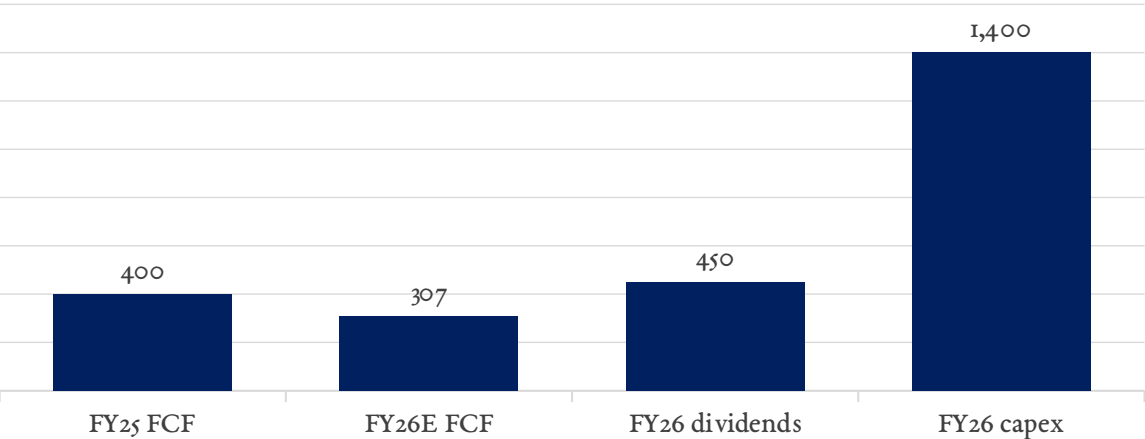
Capital Allocation

- Dividend **\$1.25**/qtr (~\$450M/yr; 3.7% yield)
- H1 FY26: buybacks **\$141M**; dividends **\$225M**
- **\$1.0B** of new notes (Sept 2026) at 6.2% (2036) and 6.9% (2056)
- Capex ~**\$1.4B** in FY26, 2.2x D&A
- Foot Locker: **\$2.5B** (9.6M shares + cash); \$500-750M of charges planned

Governance & Accounting

- Class B high-vote shares (**23.6M**) give the Stack family control
- Exec. Chairman Ed Stack runs Foot Locker directly
- Non-GAAP excludes **\$390M** of FY25 charges yet keeps Q2's **\$59M** refund
- Plaintiff-firm investigation notice after Aug 25; no suit confirmed

FY26 Cash Uses vs. Free Cash Flow (\$M)



Source: 10-K, 10-Q; FY26E FCF from the model (App. A)

Open-Market Insider Trades

Date	Insider	Trade	Value
Sep 2026	CFO N. Gupta	Bought 7,707 shares	~\$1.0M
Sep 2026	Dir. L. Fitzgerald Jr.	Bought 1,860 shares	\$0.24M
Aug 2026	Dir. W. Colombo	Bought 6,100 shares at ~\$129	\$0.79M
Prior 12 mo.	CFO N. Gupta	Sold shares at ~\$222	~\$2.9M

III. Industry & Competition

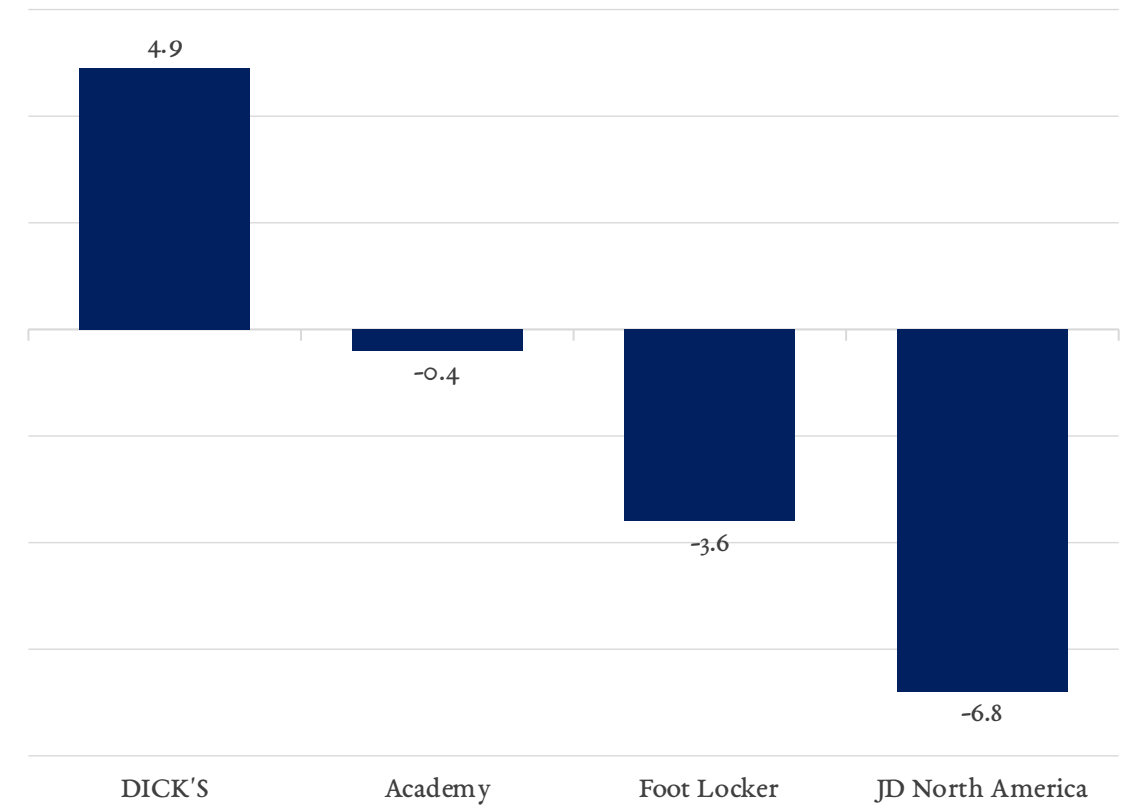
Market Dynamics

- US sporting goods wholesale ~~\$130B~~ in 2025 (+3.7%); +34.7% since 2020
- Athletic footwear wholesale ~~\$24.1B~~ (+7.4%)
- DICK'S holds ~9% of US sporting goods sales (Telsey, 2024)
- Nike reopening wholesale: North America ~+9%, Nike Direct down 8%

Macro Overlay

- IEEPA tariffs voided (2/20/26); Section 301 at 12.5% on China and Vietnam since 7/24/26
- 10-year 5.24% (10/1/26); Fed at 3.75-4.00%

Comparable Sales, Latest Quarter (%)



Source: Q2 releases (Academy and DKS, FY26); JD via AJ Bell (single source)

Bull read (L3): DICK'S takes share from weaker rivals

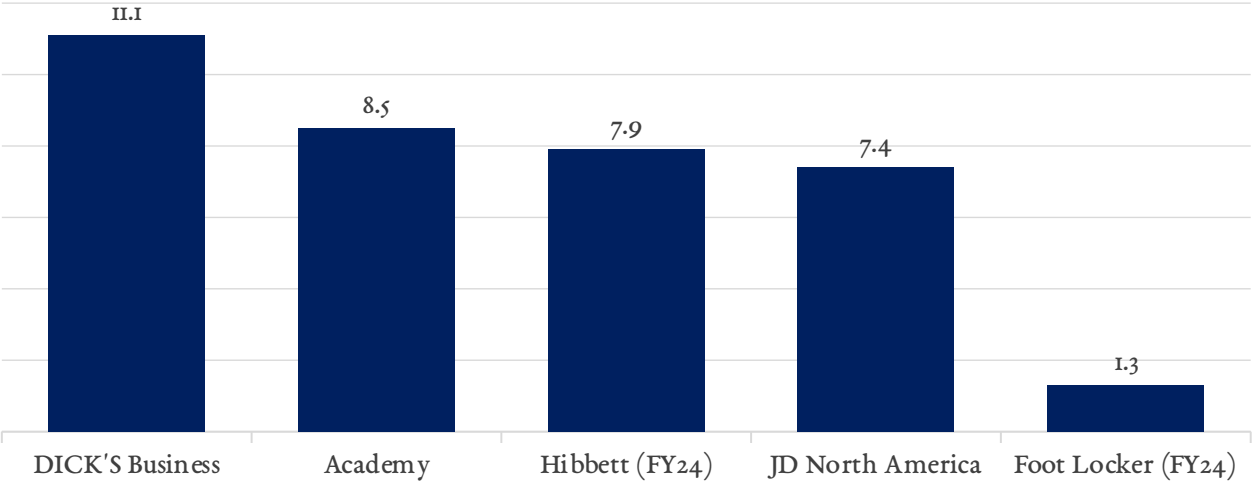
Bear read (S6): the whole channel is slowing

COMPETITIVE LANDSCAPE & MOAT

Who Else Sells Athletic Gear				
Company	Model	Revenue	Op. margin	Threat
Academy Sports	Value sporting goods	\$6.05B	8.5%	Price, Sun Belt
JD North America	Sneaker chains	£4.78B	7.4%	Finish Line, Hibbett
Nike (all channels)	Brand + direct	\$46.4B	8.3%	Promotions, allocation
Amazon / Walmart	Mass and online	n/a	n/a	Price, convenience
DICK'S Business	Category leader	~\$14.1B	11.1%	-

Helmer's Powers: Scale Only		
Power	Evidence	Trend
Scale economies	11.1% margin vs. peers' 7-8.5%	Stable
Cornered resource	Launch allocation, at Nike's discretion	Thinning
Network economies	GameChanger teams; no figures	Unproven
Switching costs	~Zero; assortment-driven	Weak
Other powers	Brand, process, counter-positioning: none	-

Operating Margin, Latest Fiscal Year (%)



Source: Company releases (FY25 unless noted; JD single source)

Evidence Tests

- Excess ROIC: 14.4% vs. ~9% WACC (FY23-24); ~10% after the deal
- Price held until Q2: ticket +5.5% in Q1, then promotions
- Comps stayed positive through 2023-26 while Academy's turned negative

IV. Growth Legs: Foot Locker & House of Sport

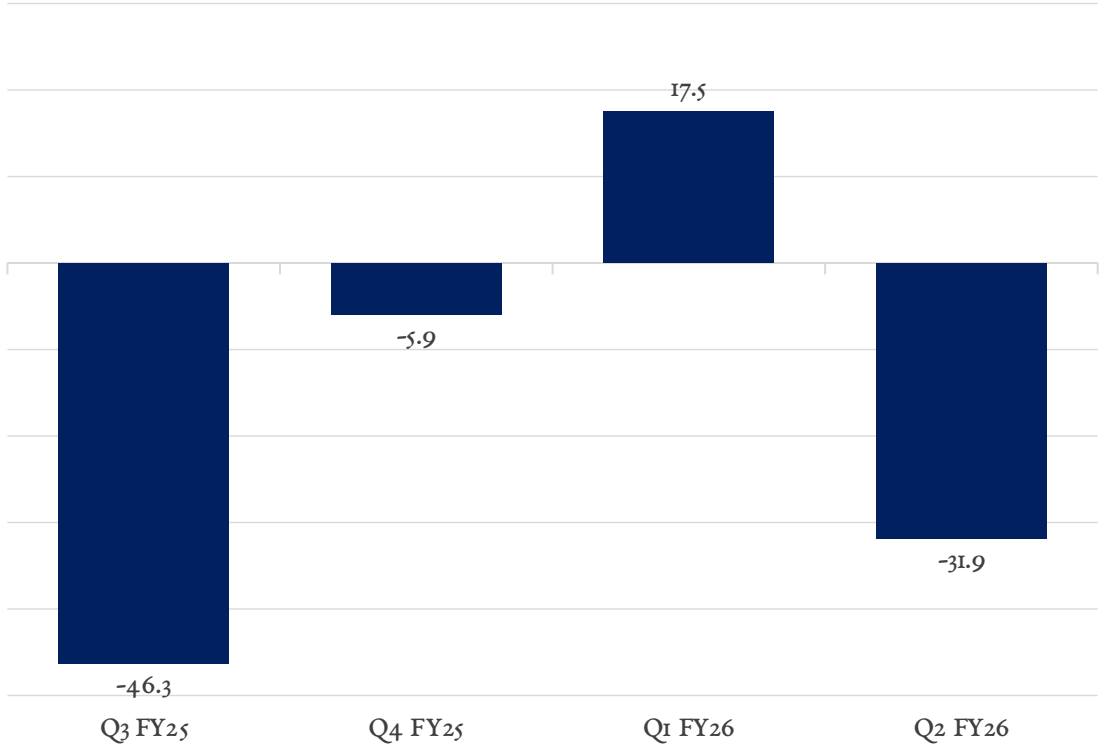
The Opportunity

- **\$7.45B** of FY26 sales; 24% gross margin vs. 36% at DICK'S
- Synergies **\$100-125M** (procurement, direct sourcing) = 1.3-1.7pp of sales
- **Fast Break** remodels: ~250 stores by back-to-school 2026; double-digit pilot comps
- New leaders: Ann Freeman (ex-Nike, North America); Matthew Barnes (International)

The Risk (\$2)

- FY26 guide swung from **+\$110-150M** to **-\$40-80M**; Q2 comps fell 3.6%
- Charges of **\$500-750M** planned; \$390M booked in FY25

Foot Locker Operating Income by Quarter (\$M)



Source: DKS releases via SGI Europe and SGB (several single source)

SALES: \$7.45B

REMODELS: ~250

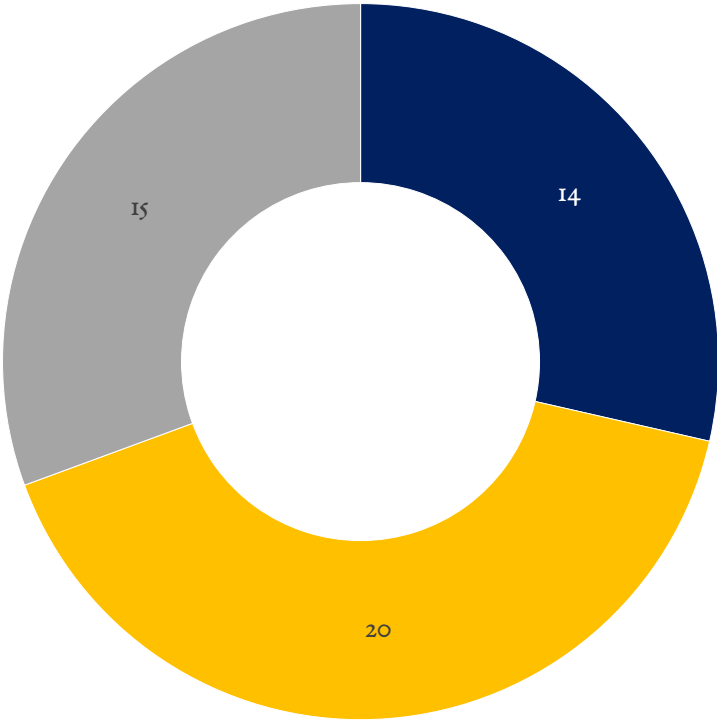
How It Works

- House of Sport: 41 open (Aug 2026); 75-100 targeted
- FY25: 16 House of Sport and 15 Field House openings
- ~75% of FY26 DICK'S openings are relocations or remodels
- GameChanger and DICK'S Media Network lifted Q2 gross margin (no figures)

The Catch

- Capex ~\$1.4B (2.2x D&A) while ROIC falls to ~10%
- No disclosed sales per store or payback for House of Sport

FY26 Store Openings Plan (count)



■ House of Sport ■ Field House ■ Golf Galaxy Perf. Centers

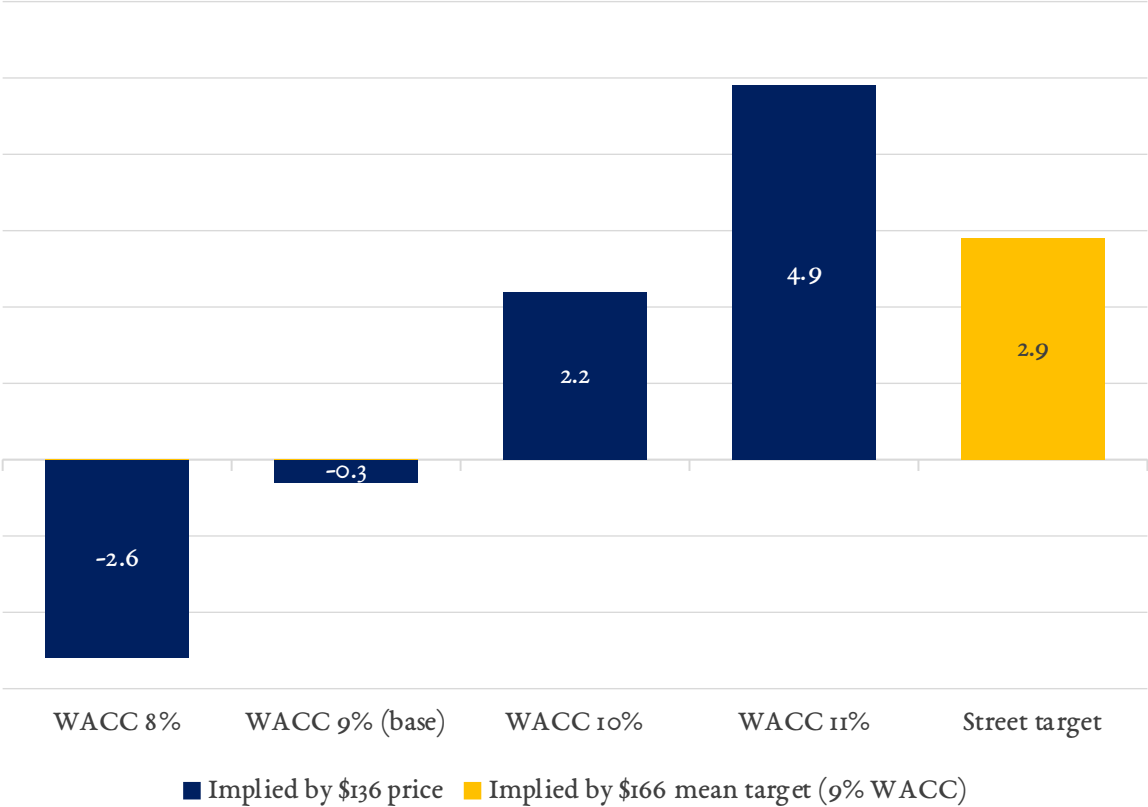
Source: FY25 10-K and Q2 FY26 10-Q

Bull (L6): high-margin lines no model breaks out

Bear (S10): capex earns about its cost

V. Valuation

Perpetual Growth After FY27 Implied by Each Valuation (%)



Source: Reverse DCF from an FY27 EBIT anchor of \$1.66B

Price = the FY27 anchor, then ~0%/yr forever at 9%

Equivalently: Foot Locker at zero, DICK'S margin 10.2%

Multiples at \$136.08

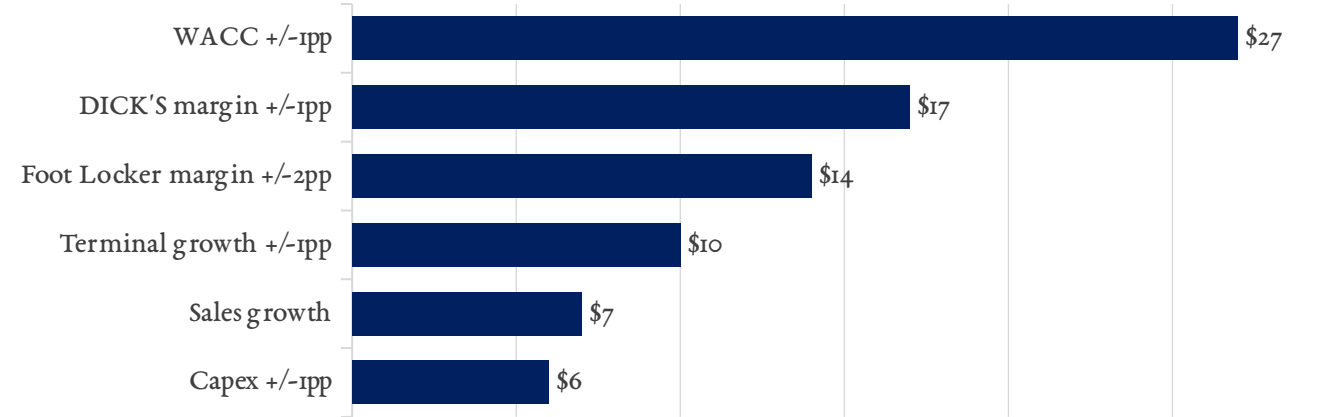
Metric	Multiple
EV / FY26E EBITDA	6.2x
EV / FY26E EBIT	8.8x
P/E on FY26 EPS guide (\$11.50)	11.8x
P/E on FY27 anchor (~\$13.19)	10.3x
Street mean target / FY26 EPS	14.4x
Context	
Academy (trailing P/E)	~8.1x
DKS at its Jan 2025 high (P/E)	~17.8x
Dividend yield	3.7%

● The stock de-rated from ~18x to ~12x earnings; the price treats Foot Locker as a liability

The Load-Bearing Variables Are the Two Margins

Variable	Implied by price	Consensus	Our base	Range	Sensitivity (\$/sh)
DICK'S margin (FY27+)	10.2% (FL 0%)	11.0-11.4%	10.8%	9.0-11.8%	+/-1pp = +/- \$17
Foot Locker margin (FY28+)	-1.2%	~2%	2.0-2.5%	-0.5% to 4.5%	+/-2pp = +/- \$14
Perpetual growth after FY27	-0.3%	+2.9% (Street)	+2.0%	0.5-2.5%	-\$9 / +\$11 per 1pp
DICK'S sales growth	n/a	+2.5-4.0% comps	+3.5%	1.5-4.5%	-\$8 / +\$5
DICK'S capex (% of sales)	n/a	~\$1.4B in FY26	6.5% to 4.5%	+/-1pp	+/- \$6
WACC	9%	n/a	9%	8-11%	-\$23 / +\$30 per 1pp

Value at Stake per One-Step Change (\$/share)



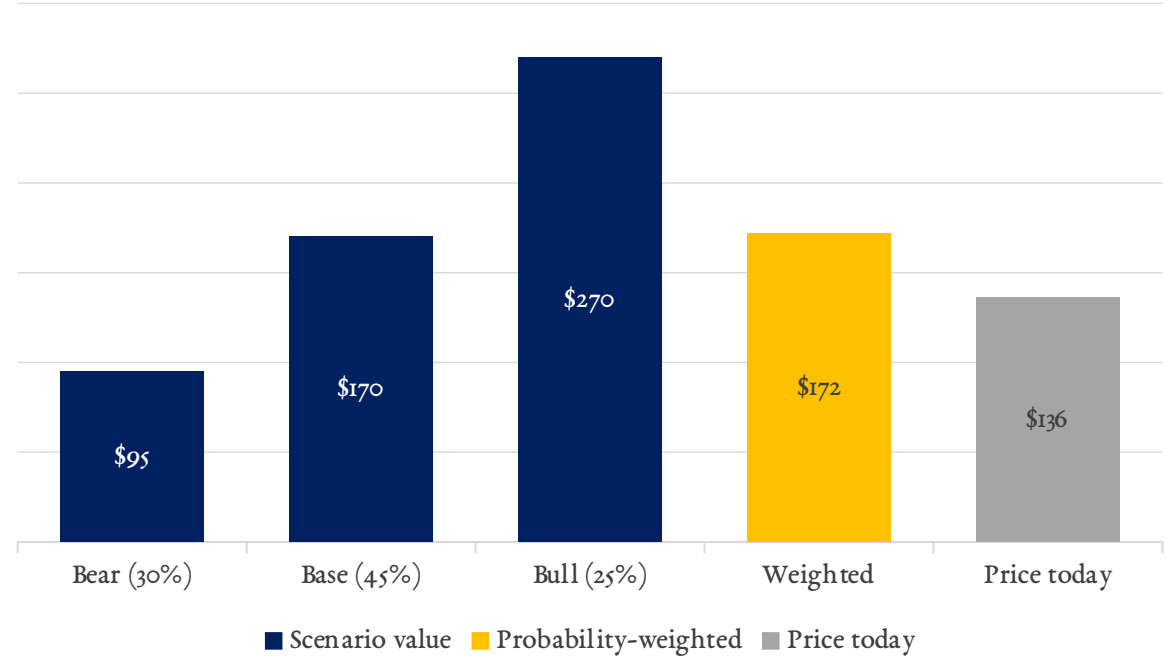
Base Rates

Margin: peers earn 7.4-8.5%; DICK'S 11.1% is the outlier

Growth: industry +3.7% in 2025; ~6%/yr since 2020

SCENARIOS: 24-MONTH VALUE VS. INTRINSIC DCF

24-Month Scenarios (\$/share)



Source: Model, App. A: exit at ~Oct 2028 on FY29E EBITDA, incl. \$10 of dividends

+27% in 24 months (~12.5%/yr) vs. a ~10% hurdle

Skew: +98% bull vs. -30% bear

Weighted DCF (30/45/25): \$156 a share (+15%)

Fragile: 5 points of odds from bull to bear erase the excess

Intrinsic SOTP DCF at 9% WACC (\$M)

Block	Bear	Base	Bull
DICK'S Business	10,778	15,069	17,920
Foot Locker Business	(233)	1,308	2,962
Unallocated cost	(614)	(661)	(691)
Enterprise value	9,931	15,716	20,190
Less net debt	(1,020)	(1,020)	(1,020)
Value per share	\$99	\$163	\$213

24-Month Scenario Math

Scenario	FY29E EBITDA	Exit multiple	Value
Bear (30%)	\$1.93B	4.5X	\$95
Base (45%)	\$2.51B	6.0X	\$170
Bull (25%)	\$2.93B	8.0X	\$270
Probability-weighted			\$172

VI. Risks, Catalysts & Recommendation

KEY RISKS TO OWNING DKS

Promotions pull the DICK'S margin toward peers' 7-8.5%

Level of Risk

High

Mitigation:

Retail media, GameChanger and premium mix could hold ~11%. This risk is falsified by an FY27 guide at 11%+ without tariff refunds (~Mar 2027).

Foot Locker stays loss-making as the sneaker channel discounts

Level of Risk

High

Mitigation:

\$100-125M of synergies and ~250 Fast Break remodels could lift it to 2-3%. Watch the Q4 FY26 segment result and the FY27 Foot Locker guide.

Capital returns outrun FCF; leverage rises on 6-7% debt

Level of Risk

Medium

Mitigation:

Capex should peak near \$1.4B in FY26, and BBB / Baa2 ratings leave room. FY27 FCF of \$700M+ would ease it.

Tariffs return through Section 301 after one-time refunds

Level of Risk

Medium

Mitigation:

Direct sourcing and vendor cost-sharing offset part of it. Disclosure of FY27 tariff costs in the guide would size it.

Dated Tests Over the Next 18 Months			
Date	Event	Watch for	Tests
Late Nov 2026	Q3 FY26 results	DICK'S comp +2.5%+; DICK'S margin vs. last year without refunds	S1, L3, L4
Holiday 2026	Promotional season	Brand-site and channel discounting; Nike inventory	S9, L10
Dec 2026	Nike Q2 FY27	North America wholesale +8%+	L9, S4
~Mar 2027	Q4 FY26 and FY27 guide	DICK'S margin 11%+ ex-refunds; Foot Locker profit; EPS \$14+	S1, S8, L2, L4
~Mar 2027	FY27 capex and buybacks	Net capex \$1.3B or less; FCF covers the dividend	S3, L5
Quarterly	Tariff refunds and Section 301	Cumulative refunds \$150M+; gross-margin impact	L7, S5
Jun 2027	Short interest	Below 8% (bull) vs. 12%+ (bear)	L8
~Mar 2028	FY27 10-K	ROIC 12%+; FCF \$700M+; charges \$750M or less	S10, S3, S7

Exit any long: an FY27 DICK'S margin guide below 10% ex-refunds

Turn long: below ~\$123, or an 11%+ margin guide plus a profitable Foot Locker

FINAL RECOMMENDATION: PASS

Base-Case Value Sensitivity (\$/share)

ABOVE \$136 AT 9%; MIXED AT 10%

WACC \ Foot Locker margin	0%	1.5%	2.5%	4.0%
8%	\$174	\$186	\$194	\$206
9% (base)	\$147	\$157	\$164	\$174
10%	\$126	\$135	\$141	\$149

Key Metrics

24-MO. VALUE: \$172	DCF VALUE: \$156
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Why Not Long

- Expected ~12.5%/yr beats a ~10% hurdle by only ~2.spp; a shift of 5 points in the odds erases it

Carry-Forward Theses & Diligence

1 Sr: DICK'S margin near 10.3%

Which segment booked the \$59M tariff refund?

2 L2: Foot Locker margin 3%+

Fast Break year-two comps and synergy timing?

3 S3: returns exceed FCF

What did the \$1.0B of September notes fund?

What Would Change Our Mind

- Buy below ~\$123, or on an FY27 guide with the DICK'S margin 11%+ ex-refunds and a profitable Foot Locker
- Short if the FY27 guide puts the DICK'S margin below 10% with the stock above \$150

VII. Appendix

Methodology

- Data as of the 10/2/26 close; filings through Q2 FY26
- Reverse DCF: 9% WACC, RONIC 14%, \$13.3B EV excluding leases
- SOTP: DICK'S and Foot Locker DCFs; unallocated cost capitalized
- Theses scored 1-5 on Edge, Materiality, Testability, Evidence
- Figures from search extracts of filings (SEC site blocked); single-source items flagged

Key Sources

- DKS: Q2 FY26 release and 10-Q; FY25 10-K; Q4 FY25-Q2 FY26 calls; Sept 2026 notes
- Street: stockanalysis (26 analysts); firm notes via Stocktwits and MarketBeat; Zacks
- Industry: SFIA (2026); Aspen Project Play; Telsey via Benzinga
- Peers: Academy, JD Sports, Nike and Hibbett releases
- Policy: CRS (IEEPA ruling); Holland & Knight (Section 301)
- Rates and returns: 10-year yield (10/1/26); Damodaran ERP; GuruFocus ROIC